

EAST AFRICAN BREWERIES LIMITED
ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2013

Consolidated income statement

	Year ended 30 June	
	2013 Kshs'000	2012 Kshs'000
Revenue	59,061,875	55,522,166
Cost of sales	(31,562,560)	(28,657,047)
Gross profit	27,499,315	26,865,119
Other income	140,540	3,797,208
Selling costs	(5,085,402)	(4,588,896)
Administrative expenses	(7,555,030)	(7,450,204)
Finance income	174,154	1,192,359
Finance costs	(4,058,658)	(4,562,537)
Profit before income tax	11,114,919	15,253,049
Income tax expense	(4,170,174)	(4,066,936)
Profit for the year	6,944,745	11,186,113
Profit attributable to:		
Equity holders of the Company	6,979,107	10,643,587
Non controlling interest	(34,362)	542,526
Profit for the year	6,944,745	11,186,113
Earnings per share for profit attributable to the equity holders of the Company		
- Basic (Kshs per share)	8.83	13.46
- Diluted (Kshs per share)	8.82	13.44

Consolidated statement of other comprehensive income

	Note	Year ended 30 June	
		2013 Kshs'000	2012 Kshs'000
Profit for the year		6,944,745	11,186,113
Other comprehensive income, net of tax:			
a) Items that may be reclassified to profit or loss			
Exchange differences from translation of net foreign operations (Pages 13 & 14)		(189,700)	(362,871)
b) Items that may not be reclassified to profit or loss		-	-
Total comprehensive income for the year		6,755,045	10,823,242
Total comprehensive income for the year attributable to:			
Equity holders of the Company		6,883,407	10,517,604
Non-controlling interest		(128,362)	305,638
Total recognised income for the year		6,755,045	10,823,242

Separate income statement

	Year ended 30 June	
	2013	2012
	Kshs'000	Kshs'000
Revenue	730,104	658,913
Administrative expenses	(3,260,841)	(3,091,045)
Other income	2,947,056	2,901,584
Dividend income receivable	6,976,175	10,160,344
Finance income	1,109,288	630,525
Finance costs	(4,157,126)	(4,135,592)
Profit before income tax	4,344,656	7,124,729
Income tax credit	169,796	408,159
Profit for the year	4,514,452	7,532,888

Separate statement of other comprehensive income

	Year ended 30 June	
	2013	2012
	Kshs'000	Kshs'000
Profit for the year	4,514,452	7,532,888
Other comprehensive income, net of tax	-	-
Total comprehensive income for the year	4,514,452	7,532,888

Consolidated statement of financial position

	At 30 June	
	2013	2012
	Kshs'000	Kshs'000
Equity attributable to the owners of Parent		
Share capital	1,581,547	1,581,547
Share premium	1,691,151	1,691,151
Capital reserve	1,281,545	1,281,545
Retained earnings	20,778,624	19,928,019
Share based payment reserve	71,373	67,046
Translation reserve	188,391	284,091
	25,592,631	24,833,399
Non controlling interest	1,133,596	2,174,518
Other reserves	(18,292,037)	(18,292,037)
Total equity	8,434,190	8,715,880
Non-current liabilities		
Borrowings	19,841,923	19,982,23
Deferred tax liabilities	3,673,094	3,402,418
	23,515,017	23,384,654
Total equity and non-current liabilities	31,949,207	32,100,534
Non-current assets		
Property, plant and equipment	33,715,088	31,246,602
Intangible asset – software	424,076	249,649
Intangible asset – Goodwill	3,577,191	3,577,191
Intangible asset – Brand	563,005	563,005
Prepaid operating lease rentals	11,248	10,934
Other investments	10,400	10,400
Deferred tax assets	1,661,943	868,762
	39,962,951	36,526,543
Current assets		
Inventories	7,470,607	7,957,272
Trade and other receivables	9,015,822	8,189,805
Current income tax recoverable	700,582	912,723
Cash and bank balances	1,406,091	997,973
	18,593,102	18,057,773
Current liabilities		
Trade and other payables	14,194,970	15,327,378
Dividends payable	717,922	615,420
Current income tax payable	449,688	492,442
Borrowings	4,951,344	4,856,500
Bank overdraft	6,292,922	1,192,042
	26,606,846	22,483,782
Net current liabilities	(8,013,744)	(4,426,009)
Net assets	31,949,207	32,100,534

Separate statement of financial position

	At 30 June	
	2013	2012
	Kshs'000	Kshs'000
Capital and reserves		
Share capital	1,581,547	1,581,547
Share premium	1,691,151	1,691,151
Capital reserve	21,837	21,837
Retained earnings	6,126,536	7,740,586
Share based payment reserve	71,373	67,046
Total equity	9,492,444	11,102,167
Non-current liabilities		
Borrowings	19,469,236	19,469,236
Total equity and non-current liabilities	28,961,680	30,571,403
Non-current assets		
Property, plant and equipment	312,464	314,609
Intangible asset – software	219,302	249,649
Prepaid operating lease rentals	1,407	1,477
Investment in subsidiaries	29,843,965	29,844,354
Other investments	10,400	10,400
Deferred tax asset	954,734	726,658
	31,342,272	31,147,147
Current assets		
Trade and other receivables	11,237,125	13,880,818
Income tax recoverable	419,624	389,989
Cash and bank balances	-	243,723
	11,656,749	14,514,530
Current liabilities		
Payables and accrued expenses	5,050,047	9,874,854
Dividends payable	717,922	615,420
Borrowings	4,765,000	4,600,000
Bank overdraft	3,504,372	-
	14,037,341	15,090,274
Net current liabilities	(2,380,592)	(575,744)
Net assets	28,961,680	30,571,403

Consolidated statement of changes in equity

Year ended 30 June 2013	Share capital	Share premium	Capital reserve	Translation reserves	Retained earnings	Share based payment reserve	Other reserves	Total	Non controlling interest	Total Equity
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
As at 1 July 2012	1,581,547	1,691,151	1,281,545	284,091	19,928,019	67,046	(18,292,037)	6,541,362	2,174,518	8,715,880
Comprehensive income										
Profit for the year	-	-	-	-	6,979,107	-	-	6,979,107	(34,362)	6,944,745
Other comprehensive income	-	-	-	(95,700)	-	-	-	(95,700)	(94,000)	(189,700)
Total comprehensive income for the year	-	-	-	(95,700)	6,979,107	-	-	6,883,407	(128,362)	6,755,045
Transactions with owners										
Share based payment reserve	-	-	-	-	-	4,327	-	4,327	-	4,327
Dividends:										
- 2012 final paid	-	-	-	-	(4,942,340)	-	-	(4,942,340)	(912,560)	(5,854,900)
- 2013 interim paid	-	-	-	-	(1,186,162)	-	-	(1,186,162)	-	(1,186,162)
Total transactions with owners	-	-	-	-	(6,128,502)	4,327	-	(6,124,175)	(912,560)	(7,036,735)
At 30 June 2013	1,581,547	1,691,151	1,281,545	188,391	20,778,624	71,373	(18,292,037)	7,300,594	1,133,596	8,434,190

The notes set out on pages 19 to 67 form an integral part of these financial statements.

Consolidated statement of changes in equity (continued)

Year ended 30 June 2012	Share capital	Share premium	Capital reserve	Translation reserves	Retained earnings	Share based payment reserve	Other reserves	Total	Non controlling interest	Total Equity
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
As at 1 July 2011										
- As previously stated	1,581,547	1,691,151	1,473,289	410,074	16,144,910	-	-	21,300,971	5,587,156	26,888,127
- Prior year adjustments* (Note 16)	-	-	(191,744)	-	58,798	-	-	(132,946)	-	(132,946)
As restated	1,581,547	1,691,151	1,281,545	410,074	16,203,708	-	-	21,168,025	5,587,156	26,755,181
Comprehensive income										
Profit for the year	-	-		-	10,643,587	-	-	10,643,587	542,526	11,186,113
Other comprehensive income	-	-		(125,983)	-	-	-	(125,983)	(236,888)	(362,871)
Total comprehensive income for the year	-	-		(125,983)	10,643,587	-	-	10,517,604	305,638	10,823,242
Transactions with owners										
Non controlling interest acquired during the year	-	-	-	-	-	-	-	-	(1,827,214)	(1,827,214)
Other reserves arising from transactions with non controlling shareholders	-	-	-	-	-	-	(18,292,037)	(18,292,037)	-	(18,292,037)
Share based payment reserve	-	-	-	-	-	67,046	-	67,046	-	67,046
Dividends:										
- 2011 final paid	-	-	-	-	(4,942,340)	-	-	(4,942,340)	(1,891,062)	(6,833,402)
- 2012 interim paid	-	-	-	-	(1,976,936)	-	-	(1,976,936)	-	(1,976,936)
Total transactions with owners	-	-	-	-	(6,919,276)	67,046	(18,292,037)	(25,144,26)	(3,718,276)	(28,862,543)
At 30 June 2012	1,581,547	1,691,151	1,281,545	284,091	19,928,019	67,046	(18,292,037)	6,541,362	2,174,518	8,715,880

*Prior year adjustment arose from change of policy for measurement of the carrying value of property plant and equipment from revaluation model to cost model.

Separate statement of changes in equity

Year ended 30 June 2013	Share capital	Share premium	Capital reserve	Retained earnings	Share based payment reserve	Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
At 1 July 2012	1,581,547	1,691,151	21,837	7,740,586	67,046	11,102,167
Comprehensive income						
Profit for the year	-	-	-	4,514,452	-	4,514,452
Other comprehensive income	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	4,514,452	-	4,514,452
Transactions with owners						
Share based payment	-	-	-	-	4,327	4,327
Dividends:						
- Final for 2012 final paid	-	-	-	(4,942,340)	-	(4,942,340)
- Interim for 2013 paid	-	-	-	(1,186,162)	-	(1,186,162)
Total transactions with owners	-	-	-	(6,128,502)	4,327	(6,124,175)
At end of year	1,581,547	1,691,151	21,837	6,126,536	71,373	9,492,444

Separate statement of changes in equity (continued)

Year ended 30 June 2012	Share capital	Share premium	Capital reserve	Retained earnings	Share based payment reserve	Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
At 1 July 2011						
- As previously stated	1,581,547	1,691,151	109,693	7,102,251	-	10,484,642
- Prior year adjustments* (Note 16)	-	-	(87,856)	24,723	-	(63,133)
As restated	1,581,547	1,691,151	21,837	7,126,974	-	10,421,509
Comprehensive income						
Profit for the year	-	-	-	7,532,888	-	7,532,888
Other comprehensive income	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	7,532,888	-	7,532,888
Transactions with owners						
Share based payment	-	-	-	-	67,046	67,046
Dividends:						
- Final for 2011 final paid	-	-	-	(4,942,340)	-	(4,942,340)
- Interim for 2012 paid	-	-	-	(1,976,936)	-	(1,976,936)
Total transactions with owners	-	-	-	(6,919,276)	67,046	(6,852,230)
At end of year	1,581,547	1,691,151	21,837	7,740,586	67,046	11,102,167

*Prior year adjustment arose from change of policy for measurement of the carrying value of property plant and equipment from revaluation model to cost model.

Consolidated statement of cash flows

	Year ended 30 June	
	2013	2012
	Kshs'000	Kshs'000
Operating activities		
Cash generated from operations	16,871,259	14,611,881
Interest received	39,268	1,192,359
Interest paid	(4,057,989)	(4,317,432)
Income tax paid	(4,549,673)	(4,652,253)
Net cash generated from operating activities	8,302,865	6,834,555
Investing activities		
Purchase of property, plant and equipment	(6,693,173)	(6,695,779)
Purchase of intangible assets - software	-	(625)
Cash outflow on acquisition of subsidiary	-	(20,570,963)
Proceeds from disposal of leasehold land and buildings	18,000	740,927
Proceeds from disposal of property, plant and equipment	627,350	-
Net proceeds from disposal of associate	-	6,111,552
Net cash used in investing activities	(6,047,823)	(20,414,888)
Financing activities		
Dividends paid to company's shareholders	(6,026,000)	(6,649,001)
Dividends paid to non-controlling interests	(912,560)	(1,891,062)
Proceeds from borrowings	165,000	26,591,026
Loan repayments	(174,244)	(5,440,765)
Proceeds from disposal of financial assets	-	97,961
Net cash generated (used in)/from financing activities	(6,947,804)	12,708,159
Net decrease in cash and cash equivalents	(4,692,762)	(872,174)
Movement in cash and cash equivalents		
Cash and cash equivalents at start of year	(194,069)	678,105
Net decrease in cash and cash equivalents	(4,692,762)	(872,174)
Cash and cash equivalents at end of year	(4,886,831)	(194,069)

Separate statement of cash flows

	Year ended 30 June	
	2013 Kshs'000	2012 Kshs'000
Operating activities		
Cash used in operations	(6,542,127)	(5,149,707)
Interest income	993,031	630,525
Interest expense	(4,157,126)	(3,898,453)
Income tax paid	(87,915)	(31,889)
Net cash used in operating activities	(9,794,137)	(8,449,524)
Investing activities		
Purchase of property, plant and equipment	(39,133)	(96,282)
Purchase of intangible assets – software	-	(625)
Cash outflow on acquisition of subsidiary	-	(20,570,963)
Proceeds from disposal of associate	-	6,111,552
Proceeds from disposal of financial assets	-	97,961
Proceeds on disposal of prepaid operating leases	-	50,000
Dividends received from subsidiaries	11,946,175	5,190,344
Net cash used in investing activities	11,907,042	(9,218,013)
Financing activities		
Dividends paid to company's shareholders	(6,026,000)	(6,649,001)
Proceeds from borrowings	165,000	24,069,236
Net cash generated from financing activities	(5,861,000)	17,420,235
Net decrease in cash and cash equivalents	(3,748,095)	(247,302)
Movement in cash and cash equivalents		
Cash and cash equivalents at start of year	243,723	491,025
Net decrease in cash and cash equivalents	(3,748,095)	(247,302)
Cash and cash equivalents at end of year	(3,504,372)	243,723